

In[30]:= Clear["Global`*"];

In[31]:= Clear[K];

"Standard Normal CDF";

$\Phi[x_] = \text{CDF}[\text{NormalDistribution}[0, 1], x];$

"Black-Scholes Call price function in

terms of log-moneyness and $v = \sigma^2 T$ with $S_0=1, r=0$ ";

$\text{BSCall}[x_, v_] = \Phi\left[\frac{-x + 1/2 v}{\sqrt{v}}\right] - \text{Exp}[x] \Phi\left[\frac{-x - 1/2 v}{\sqrt{v}}\right];$

"Assume $F_0=1$ ";

"SVI Call price function";

$\text{SVICall}[K_] = \text{BSCall}[\text{Log}[K], V[\text{Log}[K]]];$

"SVI Density using Breeden-Litzenberger";

$q[K_] = \text{Simplify}[D[\text{SVICall}[K], K, K]]$

$$\text{Out[28]} = - \left(\left(e^{-\frac{4 \text{Log}[K]^2 + V[\text{Log}[K]]^2}{8 V[\text{Log}[K]]}} \right. \right. \\ \left. \left(-4 \text{Log}[K]^2 V'[\text{Log}[K]]^2 + 4 V[\text{Log}[K]] V'[\text{Log}[K]] (4 \text{Log}[K] + V'[\text{Log}[K]]) + \right. \right. \\ \left. \left. V[\text{Log}[K]]^2 (V'[\text{Log}[K]]^2 - 8 (2 + V''[\text{Log}[K]])) \right) \right) / \left(16 K^{3/2} \sqrt{2\pi} V[\text{Log}[K]]^{5/2} \right)$$

In[*]:= "SVI formula";

$V[x_] = a + b \left(\rho (x - m) + \sqrt{(x - m)^2 + \sigma^2} \right);$

In[*]:= Simplify[V'[x]]

$$\text{Out[*]} = b \left(\rho + \frac{-m + x}{\sqrt{(m - x)^2 + \sigma^2}} \right)$$

In[*]:= Simplify[V''[x]]

$$\text{Out[*]} = \frac{b \sigma^2}{(m^2 - 2 m x + x^2 + \sigma^2)^{3/2}}$$